

**JUSTIFICATION REVIEW DOCUMENT
FAR PART 6 JUSTIFICATION AND APPROVAL FOR OTHER THAN
FULL AND OPEN COMPETITION**

Program/Equipment: Long Range Radar – Enhanced (LRR-E)

Authority: 10 United States Code (U.S.C.) § 3204(a)(1) as implemented by Federal Acquisition Regulation (FAR) 6.302-1(a)(2) - Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements.

Amount: \$94,888,122

Prepared by:

Date Prepared:

Email:

Contracting Officer:

Date Reviewed:

Contracting Officer

Email:

**Technical:
Representative**

Date Reviewed:

Email:

**Requirements:
Representative**

Date Reviewed:

Email:

Controlled by: U.S. Army

Controlled by:

CUI Category:

POC:

CUI

(Source Selection Information. See FAR 2.101 and 3.104-4)

Reviews: I have reviewed this justification and find it adequate to support other than full and open competition.

Project Director:

[REDACTED]

Signature and Date:

[REDACTED] [REDACTED] [REDACTED]

Legal Counsel:

[REDACTED]

Signature and Date:

[REDACTED] [REDACTED]

Special Advocate for Competition:

[REDACTED]

Signature and Date:

[REDACTED] [REDACTED]

**Justification and Approval (J&A)
for Other than Full and Open Competition - FAR Part 6**

1. Contracting Activity: U.S. Army Contracting Command –
Aberdeen Proving Ground (ACC-APG)
CCAP-DDC
6515 Integrity Court Building 4310
Aberdeen Proving Ground, Maryland 21005

2. Description of Action: The Long-Range Radar – Enhanced (LRR-E) W56KGY-20-D-0012 Indefinite Delivery-Indefinite Quantity (IDIQ) contract between Northrop Grumman Systems Corporation (NGSC) and Project Director, Sensors Aerial Intelligence (PD SAI) is nearing end of its ordering period with limited remaining ceiling. This proposed action is for a modification to the contract W56KGY-20-D-0012 to extend the ordering period from five (5) years to nine (9) years; the additional four (4) years were determined to be sufficient to meet program requirements and deemed fully achievable in the lesser span without the need for an additional year at Government expense. This modification will extend the ordering period from 15 June 2025 to 15 June 2029 and increase the contract ceiling of \$89,551,256 by \$94,888,122 to \$184,439,378. This extension would allow PD SAI to procure additional services and critical spares. The original ceiling was approved prior to IDIQ award via J&A control number JA-18-C-635 to Northrop Grumman Systems Corporation (NGSC), 7323 Aviation Blvd, MS 361 Baltimore, MD 21240-2001, Cage Code 15055.

The contract contains Cost Plus Fixed Fee (CPFF), Firm Fixed Price (FFP), and Cost Reimbursement (no fee) line items with a current ordering period of five (5) years, dating from 16 June 2020 to 15 June 2025. The anticipated award of the modification is no later than (NLT) 28 March 2025. Appropriate Fiscal Year (FY) 2025-2030 Aircraft Procurement, Army (APA), Research, Development, Testing & Engineering, Army (RDT&E); and Operations and Maintenance, Army (OMA), and Other Customer Funds will be used for subsequent task orders issued.

3. Description of Supplies/Services: The LRR-E contract currently provides support in project management, system engineering, test and evaluation, integration, logistics, depot service, and sustainment. This extension is necessary to allow for the continued procurement of these critical support services to ensure LRR-E is properly managed.

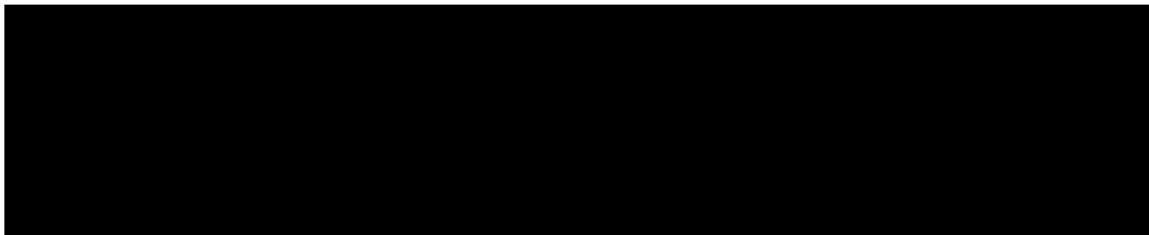
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The LRR system was developed by Northrop Grumman Systems Corporation (NGSC) initially via their own independent research and development funds, after which the Government later funded hardware and software updates which upgraded the LRR to its current LRR-Enhanced state. It has been procured by the Government as a non-developmental item. NGSC's Technical Data Package (TDP) on the LRR-E system is considered intellectual property and therefore proprietary. Sustainment of the LRR-E will be Contractor Logistics Support (CLS), and critical spares will be developed by NGSC. Over the life of this contract there have been three LRR-E systems delivered. At the time of award, it was estimated that the current ceiling could fulfill the Army's requirements; however, due to significant engineering efforts including software releases and patching, unforeseen technical challenges, and schedule delays from complex negotiations and late deliveries, a ceiling increase and period of performance (PoP) extension is critically needed.

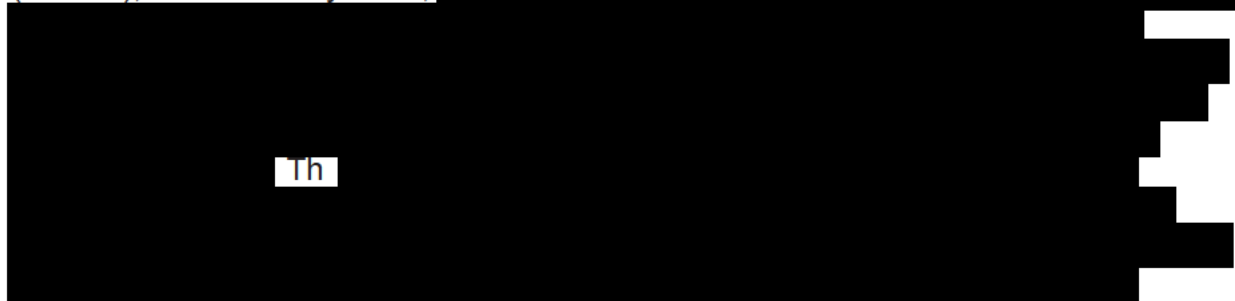
Procurement of additional sustainment and critical spares are not possible until this proposed modification to extend the PoP and increase the ceiling is approved and awarded. The existing sustainment Task Order (TO) on contract has a PoP through 15 August 2025, and another contract action will be required for continued engineering support and sustainment activities, which can only be accomplished with the extension of the ordering period.

The Independent Government Cost Estimate (IGCE) for the increase in ceiling across the additional PoP is detailed below:



4. Authority Cited: 10 U.S.C. 3204(a)(1), as implemented by FAR 6.302-1(a)(2), only one responsible source and no other supplies or services will satisfy agency requirements.

5. Reason for Authority Cited: The Abbreviated Capability Development Document (A-CDD), dated 24 July 2020,



[REDACTED]

Additionally, NGSC's TDP is considered intellectual property. Sustainment of the LRR-E will be achieved through Contractor Logistics Support (CLS), and critical spares are to be developed by NGSC. [REDACTED]

[REDACTED]

Currently there is a separate contract for the procurement of two (2) [REDACTED]

[REDACTED] platforms equipped with this LRR-E radar capability, and this modification to the LRR-E IDIQ will be used to sustain them once they are in theatre in 2QFY25. The contractor testing for the first and second aircraft started in 4QFY24; the initial LRR-E has been delivered to the integrator and the second entered and concluded final acceptance in July 2024. [REDACTED]

[REDACTED]

Ultimately, NGSC is the sole-source provider and OEM of these sensors, it is in the Government's best interest to extend the existing IDIQ rather than to award a new IDIQ. In addition to duplication of costs, if an alternate solution were to be pursued, an alternate contractor would have a significant learning curve and may not be able to duplicate state-of-the-art Research and Development (R&D) technologies, logistics, and trained personnel already developed by NGSC. This would mean a large schedule slip would occur if a new contractor and team would have to provide immediate full service, recruit, and replace contract employees with the expertise possessed by the current contractor. This schedule slip would negatively impact the Army's priority [REDACTED]

[REDACTED] strategy by preventing necessary software upgrades and patching required to prevent obsolescence and maintain optimal functionality. The Government could expect delays in excess of five (5) years or longer to identify, test, develop, and integrate the system from an alternate source and achieve current status, without guarantee of success, simply based on the fact that the Government began development of the current system in September of 2014. Consequently, an alternate contractor source is not a cost-effective solution, as the Government would be required to award a contract duplicating all or most of the development efforts already incurred by NGSC. It would be neither cost effective nor realistic to expect another contractor to adequately support the Government's LRR-E requirements within the required cost and schedule. The duplicative costs associated with making an award to alternative source would not be recoverable through competition. More specifically, [REDACTED], just based on what has currently been invested for the LRR-E system to-date. NGSC is the only contractor capable of providing, in a timely manner, the level of services required and has the qualified and experience workforce already engaged and successfully performing the required services.

Without the extension to the ordering period, LRR-E capabilities needed to meet the emerging Warfighter requirements may result in mission failure and potentially endangering Warfighters in environments that require / utilize LRR-E platforms. Additionally, [REDACTED]

[REDACTED] The next 4QFY25 support task order (004) and priority spares task order would both be prevented from award, in turn causing inherent delays to all LRR-E development, acceptance, and fielding timelines. Further, any potential failure to the existing three systems could not be remedied without these spares, in turn severely impairing the [REDACTED]. It is therefore determined that a sole source contract modification with NGSC is in the best interest of the Government to meet this requirement.

6. Efforts to Obtain Competition: Pursuant to FAR 5.202(a) (11), the proposed contract is made under the terms of an existing contract that was previously synopsisized in sufficient detail to comply with the requirements of FAR 5.207 with respect to the current proposed contract action.

- a. Effective competition. The OEM for the LRR-E product is NGSC. The Government does not have the necessary data rights to compete the contract. There are currently no opportunities available to obtain competition for this procurement that would be in the Government's best interest.
- b. Subcontracting competition. This will be achieved through monitoring of the small business subcontracting plan required per the contract and FAR 19.702. The contract contains FAR clause 52.244-5, Competition in Subcontracting.

7. Actions to Increase Competition: Market research will continue to be conducted to ascertain if there are changes in the market that would enable future actions to be more competitive. However, currently the Government does not own the TDP required for competition and was informed in September 2018 that it is not for sale. The Government will attempt to engage NGSC again regarding the potential sale of the TDP prior to the award of a potential future follow-on contract. Additionally, the technical complexity of the system and the contractor-developed upgrades has precluded increased competition. [REDACTED]

[REDACTED]. The development and maintenance of configuration baseline and related interface documentation, along with the strategic use of government technical IP rights, will allow the program office to implement this strategy by establishing standardized hardware and software architectures and interfaces. These standardized architectures and interfaces will facilitate the incorporation of new technology, potential for expanded platform applications, and the resolution of diminishing manufacturing sources and material shortages (DMSMS) issues.

8. Market Research: PD SAI released a Sources Sought Notice (SSN) on 15 November 2023 and revalidated on 6 August 2024 on the System for Award Management (SAM.gov) to conduct market research to identify sources capable of engineering support, sustainment, production, and lifecycle contractor support for the LRR-E. Only one (1) vendor responded to the SSN, NGSC. NGSC provided company details and current contracts for LRR-E support as requested in the SSN.

9. Interested Sources: A Sources Sought Notice (SSN) was published to SAM.gov on 15 November 2023, and was revalidated on 6 August 2024 to identify sources capable of engineering support, sustainment, production, and life-cycle contractor support for the LRR-E. The SSN's resulted in only one (1) response, from NGSC. To date, no other sources have written to express an interest.

10. Other Facts:

a. Procurement History:

Table 2: Procurement History

Contract Number	W56KGY-14-D-0004
Contract Type	Cost Plus Fixed Fee (CPFF), Cost
Incumbent and Size:	Northrop Grumman Mission Systems (NGMS)
Method of Previous Acquisition	Sole Source IAW FAR 6.302-1
Contract Value	\$65,000,000

Contract Number	W56KGY-15-D-0004
Contract Type	Cost Plus Incentive Fee (CPIF), Cost
Incumbent and Size:	Northrop Grumman Mission Systems (NGMS)
Method of Previous Acquisition	Sole Source IAW FAR 6.302-1
Contract Value	\$35,000,000

Contract Number	W15P7T-10-D-D408, TO KZ01
Contract Type	Cost Plus Incentive Fee (CPIF), Cost
Incumbent and Size:	Northrop Grumman Mission Systems (NGMS)
Method of Previous Acquisition	Competitive
Contract Value	\$56,400,000

Contract Number	W56KGY-20-D-0012: W56KGY-20-F-0005 (TO 0002), W56KGY-20-F-0076 (System 3 Delivery Order) W56KGY-24-F-0036 (TO 0003)
Contract Type	FFP, CPFF, CPIF, Cost
Incumbent and Size:	Northrop Grumman Systems Corporation (NGSC)
Method of Previous Acquisition	Sole Source IAW FAR 6.302-1
Contract Value	\$89,551,256

b. Other Facts: N/A

11. Technical Certification: I certify that the supporting data under my cognizance which are included in the justification are accurate and complete to the best of my knowledge and belief.

Signature and Date: [REDACTED]

Typed Name: [REDACTED]

Title: [REDACTED]

12. Requirements Certification: I certify that the supporting data under my cognizance which are included in the justification are accurate and complete to the best of my knowledge and belief.

Signature and Date: [REDACTED]

Typed Name: [REDACTED]

Title: [REDACTED]

13. Fair and Reasonable Cost Determination: I hereby determine that the anticipated cost to the Government for this contract action will be fair and reasonable. Basis for determination will be made using price and cost analysis of contractor's proposal. In addition, the contractor is required to submit certified cost or pricing IAW FAR 15.403.

Signature and Date: [REDACTED]

Typed Name: [REDACTED]

Title: [REDACTED]

14. Contracting Officer Certification: I certify that this justification is accurate and complete to the best of my knowledge and belief.

Signature and Date: [REDACTED]

Typed Name: [REDACTED]

Title: [REDACTED]

Approval

Based on the foregoing justification, I hereby approve the procurement of LRR-E in order to develop, acquire, field, and provide life-cycle support for a SAR/MTI Sensor extending the ordering period from 15 June 2025 to 15 June 2029 and extending the contract ceiling of \$89,551,256 by \$94,888,122 to \$184,439,378 on an other than full and open competition basis pursuant to the authority of 10 United States Code (U.S.C.) § 3204(a)(1) as implemented by Federal Acquisition Regulation (FAR) 6.302-1(a)(2) – Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements, subject to the availability of funds, and provided the property and services herein described have otherwise been authorized for acquisition.



Date: